STOCK PITCH · SHORT IDEA · 6 NOVEMBER 2026

Intel Corporation

Nasdaq: INTC · Information Technology / Semiconductors · United States

The 2026 margin peak is behind us: the Street still prices a shortage windfall as if it were permanent.

SELL Initiation

Price	**$56.28**
Target (base case)	**$32**
Upside / downside	**−43%**
Horizon	**12-18 months**

Price: close, 6 Nov 2026

$306bn
Market cap (diluted)

$1.33
2027E EPS (Street $1.78)

32.5x
P/E on Street NTM EPS

−$5.7bn
Free cash flow 2027E

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01 EXECUTIVE SUMMARY

2026 margins were a shortage windfall: our 2027 EPS is 25% below the Street

SELL

$32

price target, −43% vs $56.28

Intel's 2026 recovery came from a shortage: reserved inventory sold in Q1, price rises and a server boom it could only partly supply. The Q4 guide (gross margin 38%, EPS $0.25) shows the peak is behind it, yet consensus still models 42.5% and $1.78 for 2027.

1

Margins peaked in 2026

Non-GAAP gross margin rose from 41.0% (Q1) to 44.1% (Q3), then Intel guided 38% for Q4. We keep 2027 near the run-rate: 39.7% non-GAAP vs 42.5% for the Street.

2

Servers capped, PCs shrinking

Server CPU demand grows >30% but Intel is short of substrates and Intel 3 output; PC units fall ~10% in 2027. Revenue is only 5% below consensus: the gap is margins.

3

Capex and dilution absorb the cash

Capex rises 'strongly' in 2027, free cash flow turns negative (−$5.7bn), diluted shares are up 29% since 2023 and ~$1.1bn a year of profit goes to fab partners.

Source: Intel Q1-Q3 2026 prepared remarks and 10-Qs; Bloomberg consensus (BEst, 6 Nov 2026); own model.

Two businesses moving in opposite directions

Client Computing (CCPG), 61% of revenue

x86 processors for PCs: $32.2bn in 2025 at a 28.9% operating margin. Units × share × price.

Data Center & AI (DCAI), 32%

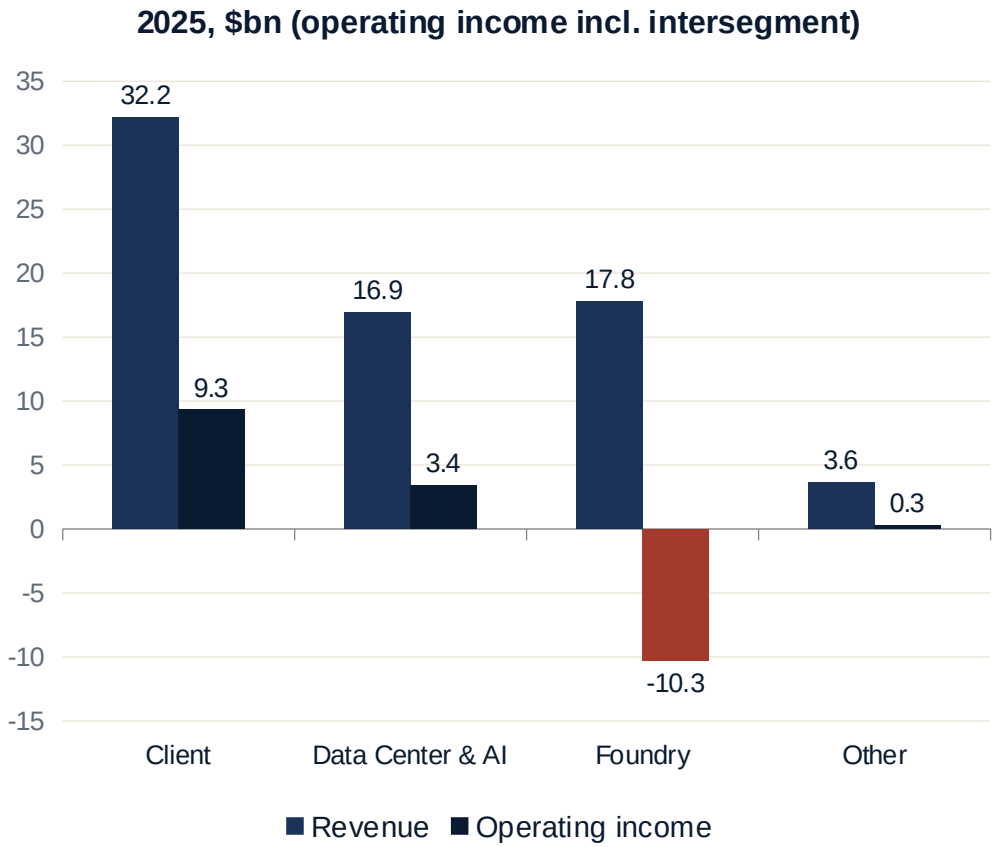
Server CPUs and custom chips: $16.9bn, +53% in 9M 2026. The growth engine, but supply-constrained into 2028.

Intel Foundry

Makes almost all of Intel's chips and tries to win outside customers. Lost $10.3bn in 2025 and $6.4bn in 9M 2026: the products earn, the factories lose.

Capital

CEO Lip-Bu Tan prioritises manufacturing: $20bn gross capex in 2026, 'up strongly' in 2027. Equity from the US government, SoftBank, Nvidia and a $20bn offering at $95 (Aug 2026). No dividend since 2024.



Source: Intel 10-K FY2025 (segment note), 10-Q Q3 2026.

What moves the stock beyond the company

−10% — **PC units, 2027**

A memory shortage pushes PC prices up while IT budgets are tight: Intel expects the market to fall ~12% in 2026 and ~10% in 2027. PCs are about half of Intel's revenue.

>30% — **Server CPU units**

AI agents need more CPUs: industry server units grow >30% in 2026 and 2027. Intel is short of EMIB substrates and Intel 3 output, and lost Fab 28 (Israel) in October: AMD takes the share.

~45% — **US capacity at risk**

Democrats won both chambers on 3 November after campaigning on data-centre oversight; Goldman flags that moratoria could affect ~45% of planned US capacity. A bear-case risk.

>90% — **TSMC's share of Apple**

Chip designers want a second source beside TSMC and 18A yields are improving, but the reported Apple deal is unconfirmed and covers low-end chips from mid-2027.

Source: Intel Q3 2026 prepared remarks (29 Oct 2026); Goldman Sachs (Nov 2026); WSJ (May 2026) via Tech Times; course Session 3.

The Street needs margins back above 42%; Intel just guided 38%

2027E	Street (Bloomberg)	Our model	Gap
Revenue	$69.3bn	$66.1bn	−4.5%
Revenue growth	+12.1%	+7.2%	−4.9 pt
Gross margin (non-GAAP)	42.5%	39.7%	−2.8 pt
Adjusted EPS	**$1.78**	**$1.33**	**−25.2%**
Free cash flow	−$2.7bn	−$5.7bn	−$3.0bn

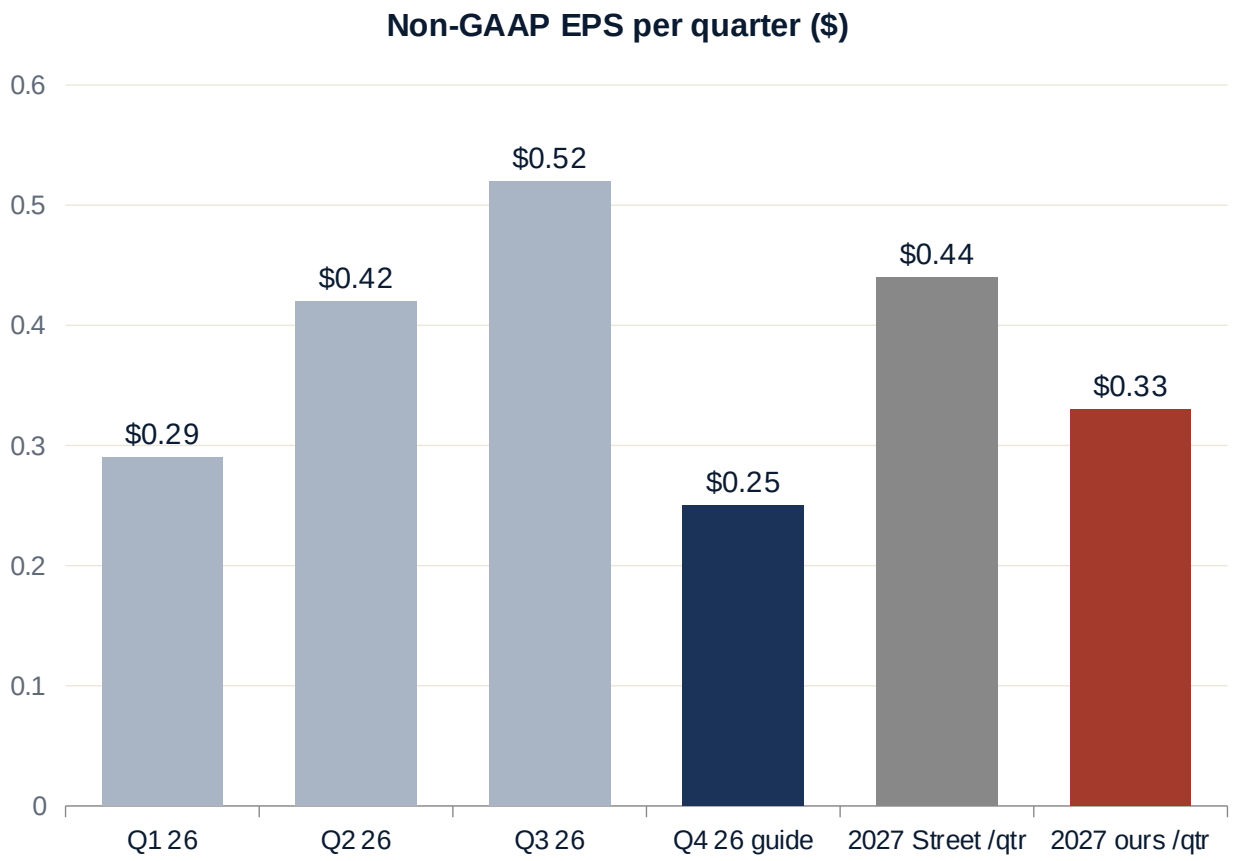
THE NUMBER THAT MATTERS

Four quarters at Intel's Q4 guide of 25 cents is one dollar. The Street needs $1.78 — 44 cents a quarter, back to the Q3 peak. We have $1.33.

Why revenue is close but EPS is far: Intel owns its fabs, so lower margins on the same volume and depreciation rising from $13.0bn to $16.1bn by 2028 hit EPS much harder than revenue. Each point of gross margin is worth about $0.10-0.11 of EPS (1% × $66bn × (1 − 12% tax) ÷ 5.48bn shares).

Source: Bloomberg BEst consensus (6 Nov 2026); own model (Income Statement, Consensus sheets). Our GAAP gross margin is 38.5% (non-GAAP ≈ +1.2 pt).

A beat in Q3, but the guide broke the outlook: the stock fell 28.6% in a day



Q3 2026 (29 Oct)	Reported	Consensus
Revenue	$16.5bn	$16.6bn
Non-GAAP gross margin	44.1%	~42%
Non-GAAP EPS	$0.52	$0.41
Q4 revenue guide	$15-16bn	~$17.1bn
Q4 EPS guide	**$0.25**	**$0.43**

Intel guided gross margin down ~6 points on 'lower overall revenue against our fixed-cost base'. We did not raise numbers after the beat: the guide matters more than the quarter. Since then: −10.3% on 5 November (midterms), +7.7% on 6 November to $56.28, −60% from the June peak of $141.

Source: Intel Q1-Q3 2026 releases and prepared remarks; Bloomberg consensus (6 Nov 2026); own model ($1.33 ÷ 4 a quarter).

Revenue by segment, margins near the Q4 run-rate, depreciation rising with the capex wave

$m, FY Dec	2024A	2025A	2026E	2027E	2028E
Revenue	53,101	52,853	61,718	66,132	73,223
Growth	−2.1%	−0.5%	+16.8%	+7.2%	+10.7%
Gross margin (GAAP)	32.7%	34.8%	40.0%	38.5%	40.5%
EBITDA margin	−0.6%	18.0%	24.2%	31.5%	35.0%
Adjusted EPS ($)	–	–	**1.48**	**1.33**	**1.70**
Consensus EPS ($)	–	–	1.49	1.78	3.00
Capex, net ($m)	23,186	16,095	19,785	25,130	24,164
Diluted shares (m)	4,280	4,530	5,218	5,480	5,525

Revenue build. Client = PC units × Intel share × price: 2027E units −10%, share −3%, price +4% → −9%. Data center = server units × share/supply × price: +30%, −8%, +5% → +26%. Total +7%.

Margins. GAAP gross margin 38.5% in 2027E, recovering to 46% by 2033E as 18A/14A costs fall, still below the 55-60% of the 2010s. D&A rises from $13.0bn to $16.1bn by 2028E.

Below the line. Tax 12% in 2027E, ~$1.1bn of minorities a year (Brookfield, Apollo fab partners), shares +0.8% a year from stock pay, no buybacks.

Source: Intel 10-K FY2025 and 10-Qs 2026 (2026E = 9 months reported + Q4 guide); Bloomberg BEst consensus (6 Nov 2026); own estimates.

07 VARIANT PERCEPTION

Where we differ from the market

WHAT THE MARKET BELIEVES	OUR VIEW
“2026 margins are the new base: 42.5% in 2027, $3.00 of EPS in 2028.”	They came from reserved inventory, price rises and a shortage. Intel itself guides 38% for Q4 'against our fixed-cost base'.
“Intel is an AI winner: server CPUs are booming.”	We agree on demand; the problem is supply. Substrates, Intel 3 and Fab 28 cap Intel's shipments; AMD takes the share. We still model data center +26%.
“After a 60% fall, it is priced in.”	Not on earnings: the stock trades at 32.5x Street NTM EPS and 42.4x ours, against 16.8x for peers. The price still assumes margins return above 42%.
“The Apple deal makes the foundry a business.”	Unconfirmed by both companies, low-end chips from mid-2027, TSMC keeps >90% of Apple's volume: ~$1.2bn of external foundry revenue in 2027E. Intel Foundry still loses ~$1.9bn a quarter.

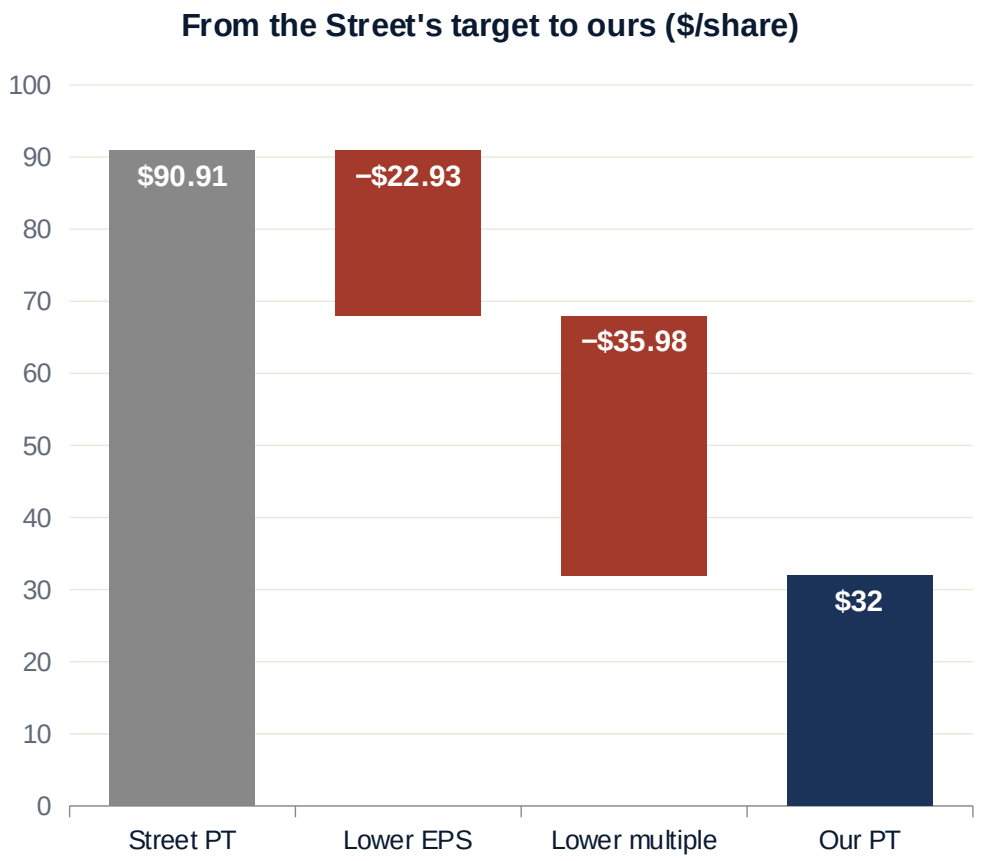
Source: Bloomberg consensus and NTM multiples (6 Nov 2026); Intel prepared remarks Q3 2026; WSJ (May 2026) via Tech Times; own model.

Price target $32: every method sits below the share price

Method	Value	Weight	Contrib.
DCF (WACC 11.5%, g 2.5%)	$20.96	30%	$6.29
EV/EBITDA comps (13.3x median)	$48.68	40%	$19.47
P/E comps (16.8x median)	$22.31	30%	$6.69
Price target (rounded)	**$32**	**100%**	**$32.45**

Cross-check: $1.33 × 24.1x = $32. We pay a 43% premium to the peer median P/E because 2027 is a trough year, far less than the 51.2x hidden in the Street's $90.91 target.

Weights: EV/EBITDA gets most weight because GAAP EPS is distorted by one-offs and the $13.7bn Escrowed Shares derivative; the DCF only 30% because 59% of its value is terminal value and FCF is negative in 2027-28.



Source: own model (DCF, Comps, Valuation Summary, Target Price sheets); Bloomberg NTM consensus for AMD, Nvidia, Qualcomm, Arm, TSMC, GlobalFoundries, Texas Instruments, Broadcom (6 Nov 2026).

09 CATALYSTS

Four dated catalysts; January's guide is the one that resets the Street

Late Jan 2027

Q4 results and first 2027 outlook (gross margin, capex). If consensus moves to our $1.33 at its own 51.2x: −$22.93 a share.

Jan 2027

IDC/Gartner Q4 PC data and CES (Nova Lake). The Street pencils in an H2 2027 PC recovery; Intel plans units ~−10%.

H1 2027

Data-centre policy after the midterms: each −10% on data center revenue ≈ −$0.19 of EPS. Bear-case risk.

Q2-Q3 2027

First Apple chips on 18A-P (Ming-Chi Kuo timing): ~$1.2bn of external foundry revenue, too small to change group margins.

The number to watch: the 2027 gross-margin guide in late January. Below 40% non-GAAP, consensus has to move toward our numbers; above 42% with data center over $9bn a quarter, we are wrong.

Source: Intel prepared remarks Q3 2026; Bloomberg consensus (6 Nov 2026); course Session 3 (midterms); own model.

Bull $71, bear $20: the skew still favours a Sell

Scenario	Key assumptions	Value	vs price	Prob.
Bull	Supply fixed, Apple ramps, 14A anchor customer, PCs back in H2 2027 → $1.78 × 40x	$71.04	+26%	20%
Base	**PC −10%, supply-capped servers, GM 38.5% → $1.33 × 24.1x**	**$32**	**−43%**	**55%**
Bear	Data-centre moratoria, PC −15%, AMD gains, 14A slips → $0.90 × 22x	$19.80	−65%	25%
Probability-weighted		$36.76	−35%	100%

Short squeeze: sentiment swings violently (Intel +24% on its Q1 print). Signposts: short interest and estimate revisions. We would not short ahead of the January print without a stop.

WE CHANGE THE CALL IF

- Data center revenue above $9bn a quarter at gross margin above 42% (supply fixed early).
- Apple volumes confirmed together with a 14A anchor customer and prepayments.
- DRAM contract prices fall early and IDC data show PCs recovering in H1 2027.

Source: own model (Scenarios sheet); Intel prepared remarks; Bloomberg (6 Nov 2026).

Sources

[1] Intel Corporation, Form 10-K for the fiscal year ended 27 December 2025 (SEC EDGAR).
[2] Intel Corporation, Forms 10-Q for the quarters ended 28 March, 27 June and 26 September 2026 (SEC EDGAR).
[3] Intel Corporation, CEO/CFO prepared remarks, Q1-Q3 2026 earnings calls (Q3: 29 October 2026).
[4] Intel Corporation, "Intel announces upsize and pricing of $20 billion common stock offering", 11 August 2026.
[5] Bloomberg L.P., INTC US Equity: BEst consensus, ANR, beta, peers (NTM), weekly prices, 6 November 2026.
[6] StockTitan (6 Nov 2026); Forbes (5 Nov 2026), chip-stock moves after the midterms.
[7] Tech Times (20 Jun 2026), Gadget Hacks (2026): reports on the Apple-Intel agreement (WSJ, May 2026).
[8] Damodaran, A. (1 Nov 2026), implied equity risk premium, NYU Stern.
[9] SKEMA Business School, Equity Research course materials, Sessions 1-4 (Paul Wuh).

Disclosure: student research by Noah Doose and Victor Endrizzi, prepared for the Equity Research course at SKEMA Business School (November 2026) and adapted to the Thoth Ledger pitch format. Intel was assigned by the instructor; it is not a holding of the Thoth Ledger value strategy. AI (Claude) was used for extraction from filings, first drafts and formatting; every figure was checked against the filings and Bloomberg, and the rating, target and thesis are the authors' own. Not investment advice; prices as of 6 November 2026.